

ENGLISH

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 2

10th January, 2017 @ 12.00 noon

When Growth Turns Anaemic

Stepped-up public investment is the key

When the Central Statistics Office (CSO) says that the rate of growth for the current financial year is likely to dip to 7.1% from the 7.6% registered last fiscal, even without taking into account the impact of demonetisation that commenced one month into the third quarter (October-December), it means two things: growth is likely to dip below 7%, and do not blame just demonetisation for it. In each of the current fiscal's first two quarters, the growth rate turned out to be lower than the growth rate in the corresponding quarter of the previous year.

Part of the blame might be purely statistical. The global dip in commodity prices had flattened the wholesale price index last fiscal, even as the consumer price index remained buoyant. Some argued that the use of different price indices to deflate input and output prices resulted in artificial exaggeration of the value added and, thus, of the growth rate. The two indices are better aligned this fiscal, squeezing out the statistical element in the growth rate. But it does not guarantee that there would be no surreal element in the growth rate this fiscal either. Demonetisation persuaded many unlisted companies to bring their concealed incomes onto their books, resulting in boosted sales and profits, also explaining, in part, the boost in tax collections



in November. The CSO uses financial reporting of companies to estimate value added, for a first approximation. This would lead it to register robust growth in Q3 this fiscal. But the lingering effect of demonetisation in the January-March quarter is unlikely to be offset by financial juggling, concealed incomes already having been reported in the third quarter. That is likely to leave the combined growth of Q3 and Q4 to be sufficiently below 7% to drag the overall growth for the year below 7%.

Gross fixed capital formation as a proportion of GDP has sunk to 26.6% — lower than in any year after 2004-05. The key to revival of growth is clearing up bank books, enabling them to lend, and stepping up public investment in the meantime. This is so, regardless of the effects of demonetisation.

THE ECONOMIC TIMES
9th January 2017



DISCUSSION ON
10th Jan (today)



DISCUSSION ON
11th Jan (tomorrow)

Democracy, Diversity, Development

2016 was dominated by their dark sides, can we channel the Force this year?

Samir Saran



2016 was witness to dramatic political changes. Everything that seemed improbable, even unthinkable somehow found new ways of manifesting itself, and that too repeatedly.

The impregnable walls of the European Union (EU) were breached when its largest security provider, Britain, decided to break free from the European project. A celebrity of a reality TV show was able to capture the imagination of a frustrated American public and walked away with a near impossible victory in presidential elections.

Liberal actors and voices were constantly defeated in many arenas by populist movements. The new energy of right-wing forces in several geographies competed with the new fanaticism among Islamic radicals. The defeat of liberalism defined the mood and events of 2016.

More than any year in the recent past, 2016 signified a metamorphosis of the global order itself. 2017 therefore becomes a very significant year as it brings together two unknowns for all of us to grapple with.

First is the future of global economics and financial systems, which are yet to be adequately restructured following the crises of 2008. Second are the political questions raised by the happenings of the year gone by. Both of these will have to be addressed discretely and jointly, if gains of the post-war order are to be maintained and strengthened.

Three, words must receive significant attention this year as we respond to the economic and political challenges that lie ahead: democracy, diversity and development. All three are today under threat, and all three by themselves are a threat to global stability.

THE TIMES OF INDIA
10th January 2017



LEARNING SPACE

...Transforming Human Lives

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WHEN GROWTH TURNS ANAEMIC

Editorial
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- When the Central Statistics Office (CSO) says that the rate of growth for the current financial year is likely to dip to 7.1 per cent from the 7.6 per cent registered last fiscal, even without taking into account the impact of demonetisation that commenced one month into the third quarter (October-December), it means two things: growth is likely to dip below 7 per cent, and do not blame just demonetisation for it.
- In each of the current fiscal's first two quarters, the growth rate turned out to be lower than the growth rate in the corresponding quarter of the previous year. Part of the blame might be purely statistical. The global dip in commodity prices had flattened the wholesale price index last fiscal, even as the consumer price index remained buoyant.
- Some argued that the use of different price indices to deflate input and output prices resulted in artificial exaggeration of the value added and, thus, of the growth rate.
- The two indices are better aligned this fiscal, squeezing out the statistical element in the growth rate. But it does not guarantee that there would be no surreal element in the growth rate this fiscal either.
- Demonetisation persuaded many unlisted companies to bring their concealed incomes onto their books, resulting in boosted sales and profits, also explaining, in part, the boost in tax collections in November.
- The CSO uses financial reporting of companies to estimate value added, for a first approximation. This would lead it to register robust growth in Q3 this fiscal. But the lingering effect of demonetisation in the January-March quarter is unlikely to be offset by financial juggling, concealed incomes already having been reported in the third quarter.
- That is likely to leave the combined growth of Q3 and Q4 to be sufficiently below 7 per cent to drag the overall growth for the year below 7 per cent. Gross fixed capital formation as a proportion of GDP has sunk to 26.6 per cent lower than in any year after 2004-05.
- The key to revival of growth is clearing up bank books, enabling them to lend, and stepping up public investment in the meantime. This is so, regardless of the effects of demonetisation.



THE ECONOMIC TIMES

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WHEN GROWTH TURNS ANAEMIC

Stepped-up public investment is the key





Step down



Step in



Investments

STEP UP



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**SMALL
DOMESTIC
COMPANIES**

Squeezing Out

THE ECONOMIC TIMES

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But the *lingering effect* of demonetisation in the January-March quarter is unlikely to be offset by financial *juggling*, concealed incomes already having been reported in the third quarter.



LINGERING EFFECT



Juggling

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